
MB 202: Microeconomics

Course Code	MB 202
Course Name	Microeconomics
L-T-P-C	3-0-0-3
Intended for	IMBA
Mutual Exclusion	Organizational Management HS304 offered by SHSS
Approval	54th BoA (May 2024)

Course Contents

- **Unit 1:** Nature and scope of Economics || Demand and supply schedule || Law of demand and supply || Elasticity of demand and supply- price, income and cross price elasticity || Market forces-price determination and effect of change of market conditions. (8 Hours)
- **Unit 2:** Theory of consumer behaviour: Utility; cardinal and ordinal utility analysis || Consumer's equilibrium-single and multiple commodity case || Indifference curve: types and properties || Price effect: Hicks and Slutsky methods || Derivation of the demand curve. (8 Hours)
- **Unit 3:** Production function || Law of variable proportions || Returns to scale || Isoquants || Factor substitution || Ridge lines || Internal and external economies and diseconomies || General notes on cost function || Theory of cost: Short-run cost analysis, long-run cost analysis Iso cost || Least cost combination || Concept of revenue: total, average, and marginal revenue || Revenue and elasticity || Break-even analysis. (10 Hours)
- **Unit 4:** Introduction to market || Perfect and pure competition: assumption || Short-run equilibrium: firm equilibrium in the short-run, supply curve of the firm and industry, short-run industry equilibrium || Long-run equilibrium: firm equilibrium in the long-run, industry equilibrium in the long-run, optimal resource allocation. (8 Hours)
- **Unit 5:** Monopoly: definition, demand, cost and revenue || Equilibrium of the monopolist: shortrun equilibrium and long-run equilibrium || Comparison of pure competition and monopoly || Price discrimination || Monopolistic competition || Oligopoly: non-collusive oligopoly and collusive oligopoly. (8 Hours)

Text Books

1. Pindyck, **Microeconomics**, Pearson Publisher.
2. Koutsoyiannis A., **Modern Microeconomics**, Macmillan Publishers.

References

1. NA